

25STCV37653 25STCV37653

County: los-angeles

Division: Civil Law and Motion

Department: 508

Hearing date: 2026-07-10

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C508%2C07%2F10%2F2026

Source SHA-256: c88c332e3c9e4afa50e894b0ed2fa128246ea0b2440f56985e31a70221b5bc87

Case Number: 25STCV37653 Hearing Date: July 10, 2026 Dept: 508

Superior Court
of California

County of Los
Angeles

Department 508

DAVID
JIMENEZ,

Plaintiff,

vs.

CALIFORNIA
FAIR PLAN, et al.,

Defendants.

Case No.:

25STCV37653

Hearing Date:

July 10, 2026

Hearing

Time: 2:00 p.m.

[TENTATIVE]

ORDER RE:

DEFENDANT SELECT

PORTFOLIO SERVICING, INC.'S DEMURRER TO PLAINTIFF'S COMPLAINT;

DEFENDANT SELECT

PORTFOLIO SERVICING, INC.'S MOTION TO STRIKE PORTIONS OF PLAINTIFF'S COMPLAINT;

DEFENDANT RTI

PROPERTIES, INC.'S DEMURRER TO PLAINTIFF'S COMPLAINT;

DEFENDANT RTI

PROPERTIES, INC.'S MOTION TO STRIKE PLAINTIFF'S REQUEST FOR PUNITIVE DAMAGES IN COMPLAINT

Background

On December 24, 2025, Plaintiff David

Jimenez ("Plaintiff") filed this action against Defendants California Fair Plan, Assure Mortgage Co., SPS Servicing, Mark Agha, RTI Properties (collectively, "Defendants"), alleging nine causes of action for (1) breach of contract; (2) bad faith denial of insurance (breach of implied covenant); (3) breach of contract (loan/deed of trust); (4) negligence; (5) professional negligence; (6) breach of fiduciary duty; (7) fraud/negligent misrepresentation; (8) wrongful foreclosure; and (9) failure to notify (statutory violations).

On February 9, 2026, Plaintiff

filed an amendment to the complaint, naming Doe 4 as Bronzетree Terraces, LLC.

On June 3, 2026, Plaintiff filed another amendment, naming Doe 1 as Bronzетree Terraces, LLC.

Defendant Select Portfolio

Servicing, Inc. ("SPS"), erroneously sued as SPS Servicing, demurs the third, fourth, sixth, seventh, and ninth causes of action of Plaintiff's complaint and moves to strike portions of the complaint seeking punitive damages, emotional

distress related damages, and attorney fees. Plaintiff opposes. SPS replied.

At the hearing on May 27, 2026, the Court ordered the parties to meet and confer regarding SPS's demurrer and motion to strike. Thereafter, SPS's counsel filed a declaration stating that they "were unable to reach an agreement resolving the objections raised in the Demurrer." (Dailey Decl., ¶ 3.) However, regarding the motion to strike, SPS's counsel and "Plaintiff's counsel agreed to enter into a stipulation and order striking Plaintiff's claims for punitive damages, damages for emotional distress and attorneys' fees from Plaintiff's Complaint as to SPS with prejudice and without leave to amend." (Ibid.) The Court notes Plaintiff's counsel filed the stipulation on June 16, 2026. The Court will sign the stipulation. Accordingly, SPS's motion to strike is now moot.

On June 25, 2026, Plaintiff filed a substitution of attorney, which noted that Plaintiff would be proceeding in the action as a self-represented litigant.

Defendant RTI Properties, Inc. ("RTI") now demurs to the third, fourth, sixth, seventh, and ninth causes of action of Plaintiff's complaint. RTI also moves to strike Plaintiff's request for punitive damages. Plaintiff did not file an opposition.

Requests for Judicial Notice

The Court grants RTI's request for judicial notice of Exhibits 1, 2, and 3.

The Court grants SPS's request for judicial notice of Exhibits 1 and 2.

Demurrer

A.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. ((Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)) In testing the sufficiency of the complaint, the court assumes the truth of properly pleaded factual allegations, facts reasonably inferred from those

expressly pleaded, and judicially noticed matters. ((Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) "A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed." ((SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905.) Accordingly, "[w]hether the plaintiff will be able to prove the pleaded facts is irrelevant to ruling upon the demurrer." ((Stevens v. Superior Court (1986) 180 Cal.App.3d 605, 609-610.)

Under Code of Civil Procedure section 430.10, subdivisions (e) and (f), a demurrer may be filed if the pleading is uncertain or does not state facts sufficient to constitute a cause of action. For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. ((Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th 962, 967.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment, otherwise, it is abuse of discretion. ((Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.)

B.

Allegations of the
Complaint

Plaintiff alleges that "SPS Servicing (hereafter 'SPS') is, on information and belief, a mortgage loan servicing and payment processing company. SPS is believed to be acting as a sub-servicer or agent for Assure (or for the holder of Plaintiff's mortgage loan) to collect monthly mortgage payments from Plaintiff. At all relevant times, Plaintiff made his monthly mortgage payments to SPS, which in turn was responsible for applying those payments to Plaintiff's loan obligations, including principal, interest, taxes, and insurance (PITI)." (Compl., ¶ 4.) While "RTI Properties is the holder or beneficiary of the second mortgage (Second Deed of Trust) on Plaintiff's property. This was a loan of approximately \$300,000 extended to Plaintiff, with a total current balance of \$443,390." (Compl., ¶ 6.)

Plaintiff alleges

he has owned a “single-family residence located at 4132 Vanetta Place in Studio City, California” for twenty years. (Compl., ¶ 11.) “In or about late 2023, Plaintiff accidentally and involuntarily missed one of his first mortgage payments. As a result, in November 2023 defendant Assure recorded a Notice of Default against the Property and initiated foreclosure proceedings.” (Compl., ¶ 13.) Plaintiff asserts that shortly after, he “cured the default on the first mortgage. In the same month (November 2023), Plaintiff paid the overdue amounts necessary to reinstate the loan, and the first mortgage was brought current. By curing the default, Plaintiff was entitled under California law to reinstatement of the loan and a stop to the foreclosure process.” (Compl., ¶ 14.) “Following the cure, Plaintiff remained in good standing on the first mortgage from late 2023 through early 2025.” (Compl., ¶ 15.)

Plaintiff also

alleges that “[i]n or about October or November 2023, Plaintiff obtained a homeowners insurance policy from Defendant CA FAIR Plan to cover fire damage to the Property.” (Compl., ¶ 16.) Plaintiff believes that when his “first mortgage went into default in November 2023 and the Notice of Default was recorded, the mortgage company (Defendant Assure, through its agents) communicated this fact to Defendant CA FAIR Plan. In other words, Assure or its agents notified the FAIR Plan in late 2023 that Plaintiff’s Property was ‘in foreclosure.’” (Compl., ¶ 19.) Plaintiff alleges that “Defendant CA FAIR Plan, upon learning of the foreclosure status in late 2023, decided that it would non-renew Plaintiff’s fire insurance policy at the end of the policy term (October 2024),” but “did not directly notify Plaintiff in late 2023 that it had decided not to renew the policy. Plaintiff did not receive any written notice addressed to him, at his mailing address, informing him of an upcoming non-renewal or cancellation. California law (Insurance Code § 675 et seq., including § 678) requires insurers to provide written notice of non-renewal to the named insured at least 45 days before a homeowners policy expiration. CA FAIR Plan did not mail or deliver any such notice to Plaintiff as required. If any notice was sent at all, it was sent only to Plaintiff’s insurance broker via email, as described below, and not to Plaintiff himself. Plaintiff remained personally unaware of any intent not to renew the policy.” (Compl., ¶¶ 20-21.)

Plaintiff alleges

that “Defendant Assure Mortgage Co., Defendant SPS Servicing and Defendant RTI Properties knew or should have known that Plaintiff’s fire insurance policy was not renewed in October 2024. Typically, when a homeowner’s insurance policy is

about to expire or is canceled, the insurer sends notice not only to the insured but also to any mortgagee or lienholder (since the lender has an interest in the property being insured)." (Compl., ¶ 24.) "Despite these signs, Assure, RTI Properties and SPS took no timely action to inform Plaintiff that his property was no longer insured against fire as of November 2024. They did not contact Plaintiff to warn him of the lapsed policy, nor did they arrange for lender-placed hazard insurance..., which is a standard protective measure lenders take when a borrower's insurance lapses. Instead, Assure, RTI Properties and SPS simply continued to collect the same monthly payment from Plaintiff (which included amounts intended for insurance), without securing any actual insurance coverage for the property. By doing so, the mortgage company and servicer breached the duties they owed both to Plaintiff and to themselves (as the property's secured creditors) to ensure continuous insurance coverage on the collateral. Their inaction left the Property effectively uninsured as of the end of October 2024." (Compl., ¶ 25.)

Plaintiff further alleges that "[o]n January 8, 2025, a devastating wildfire swept through parts of Southern California, including the area of Plaintiff's Property. On that date, Plaintiff's house was caught in the wildfire and suffered catastrophic fire damage... Plaintiff sustained roughly \$1.3 million in property damage." (Compl., ¶ 26.)

Plaintiff pleads that SPS "[n]egligently and/or fraudulently failed to handle Plaintiff's escrow funds properly, did not pay for or secure renewal of the insurance, did not inform Plaintiff of the lapse, and misrepresented by conduct that insurance was in place while accepting payments designated for insurance. SPS's acts are closely tied with Assure's, as SPS acted as Assure's agent in servicing the loan." (Compl., ¶ 32.) Plaintiff also alleges that RTI, as the second mortgagee, "did not maintain continuous insurance coverage, failed to notify Plaintiff or arrange lender-placed insurance, and collected insurance impounds under false pretenses." (Ibid.)

C.

All Causes of Action

Alleged Against RTI

RTI avers that "there is no basis for any cause of action against RTI." (Dem., 5:14-15.) Plaintiff's

complaint asserts that “RTI Properties is the holder or beneficiary of the second mortgage (Second Deed of Trust) on Plaintiff’s property. This was a loan of approximately \$300,000 extended to Plaintiff, with a total current balance of \$443,390.” (Compl., ¶ 6.) However, RTI asserts that instead of borrowing from RTI, “Plaintiff borrowed \$425,000 from Bronzetree Terraces, Inc. (‘Bronzetree’) [which was] secured by a second position deed of trust recorded on October 7, 2022.” (Dem., 5:10-11.) RTI asserts that “[t]here is no deed of trust recorded in favor of RTI. Plaintiff sued the wrong entity and the allegation in the Complaint is demonstrably false based on the RJN #3.” (Dem., 5:13-14.) RTI’s request for judicial notice of Exhibit 3 demonstrates that Bronzetree was indeed named on the second deed of trust for Plaintiff’s home. RTI is mentioned in the Second Deed of Trust only to the extent that Bronzetree’s “address is c/o RTI Properties, Inc...” (RJN, Ex. 3, p. 26.) Bronzetree is labeled as the beneficiary, and RTI is merely named as an address for the second mortgage. Accordingly, the deed demonstrates RTI was not Plaintiff’s lender.

All of

Plaintiff’s causes of action asserted against RTI are predicated on RTI’s failures as Plaintiff’s lender. RTI cannot breach duties or harm Plaintiff if no relationship existed between the parties. Plaintiff does not file opposition demonstrating that the evidence or RTI’s assertions are incorrect. Accordingly, RTI’s demurrer is sustained in its entirety, without leave to amend.

D.

Third Cause of Action for

Breach of Contract - Deed of Trust/Loan Agreement

SPS first demurs to the breach of contract cause of action, asserting that “Plaintiff’s claims are not substantiated by the express language of his First Deed of Trust as it is his contractual obligation to obtain and maintain insurance.” (Dem., 12:26-27.)

“If the action is based on an alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written instrument must be attached and incorporated by reference.” (Otworth v. Southern Pac. Transportation Co. (1985)166 Cal.App.3d 452, 459.) “The standard elements of a claim for breach of contract are ‘(1) the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach,

and (4) damage to plaintiff therefrom. [Citation.]” (Wall St. Network, Ltd. v. New York Times Co. (2008) 164 Cal.App.4th 1171, 1178.)

Plaintiff's complaint alleges breach of contract, but Plaintiff does not include explicit language of the contract, nor does Plaintiff attach it as an exhibit. SPS requested that the Court judicially notice the first Deed of Trust, Exhibit 1, which contains the language of the parties' contract.

SPS first asserts that “Plaintiff suggests SPS breached the Deed of Trust by not notifying Plaintiff of the nonrenewal. (Complaint, par. 55.) He does not, however, identify any portion of the First Deed of Trust which would require such a notification. This is glaring in light of the fact that it was Plaintiff's own obligation to obtain and maintain insurance. (RJN, Ex. '1', §5.)” (Dem., 13:7-10; see also RJN, Ex. 1 [“Borrower shall keep the improvements now existing or hereafter erected on the Property insured against loss by fire, hazards included within the term 'extended coverage,' and any other hazards...”].) SPS asserts that Plaintiff “asks this Court to impose substantive duties or limits beyond those specified within his own agreement. He thus fails to plead any breach of contract claim relating to a purported duty to notify him of a coverage lapse.” (Dem., 13:16-18.)

SPS also asserts that Plaintiff's assertion that SPS breached its duty because it needed to arrange for lender-placed hazard insurance (see Compl., ¶ 25) is improper, because “Plaintiff has not, and cannot, point to any contractual obligation that required SPS to obtain such insurance. Section 5 of the Deed of Trust provides 'If Borrower fails to maintain any of the coverages,' including fire coverage, the 'Lender may obtain insurance coverage, at Lender's option and Borrower's expense.' (RJN, Ex. “1”, §5 (emphasis added).) Section 5 expressly states the 'Lender is under no obligation to purchase any particular type or amount of coverage.' (RJN, Ex. '1', §5 (emphasis added).) It further states 'such coverage shall cover Lender, but might or might not protect Borrower, Borrower's equity in the Property, or the contents of the Property, against any risk, hazard or liability.'” (Dem., 13:26-14:5.)

SPS further asserts that “Plaintiff suggests that because his insurance premiums were paid by SPS as an escrow

item, that SPS breached some portion of the loan agreement. (Complaint par. 55(a).) Section 3 of the Deed of Trust provides, in part, that the lender may 'collect and hold fund in an amount (a) sufficient to permit Lender to apply the Funds at the time specified under RESPA, and (b) not to exceed the maximum amount a lender can require under RESPA.' (RJN, Ex. '1', § 3.) It further provides that the Lender shall estimate the amount of Funds due on the basis of current data and reasonable estimates of expenditures of future Escrow Items or otherwise in accordance with Applicable Law.' (RJN, Ex. '1', § 3.) Where there is a 'surplus of Funds held in escrow, as defined under RESPA, Lender shall account to Borrower for the excess funds in accordance with RESPA.' (RJN, Ex. '1', § 3.) Plaintiff alleges SPS collected funds from Plaintiff and paid these escrow items. It was obligated to account for those funds, and adjust the amounts collected periodically pursuant to RESPA. Plaintiff does not allege that SPS breached any particular contractual provision relating to escrow items." (Dem., 14:11-23.)

Plaintiff opposes SPS's contentions, asserting that SPS's "argument relies on a selective, incomplete reading of the Deed of Trust, completely ignoring the escrow provisions and the federal regulations incorporated therein." (Opp., 5:16-17.) Plaintiff contends that "[t]he Deed of Trust expressly permits the lender to 'collect and hold fund[s]' for 'Escrow Items,' which are explicitly defined to include 'premiums for any and all insurance required by Lender under Section 5'.

Critically, Section 3 explicitly ties the administration of these funds to the Real Estate Settlement Procedures Act (RESPA). It states that the lender shall estimate and apply the funds 'in accordance with RESPA' and 'Applicable Law'. Under fundamental principles of California contract law, all applicable laws and regulations in existence when an agreement is made become a part of the contract as fully as if incorporated by reference. Because the Deed of Trust explicitly invokes RESPA, the regulatory mandates of RESPA constitute binding contractual obligations upon the servicer." (Opp., 5:20-6: 2.) Plaintiff avers that he "alleges that SPS collected his monthly escrow impounds but failed to make the timely payments necessary to prevent the FAIR Plan policy from lapsing. By failing to remit the funds to the insurer, SPS breached the explicit contractual terms of Section 3, as informed by RESPA." (Opp., 6:11-14.)

Plaintiff also asserts that, under the implied covenant of good faith and fair dealing, "SPS continuously collected Plaintiff's monthly PITI payment—including the specific portion

designated for the fire insurance premium—while simultaneously allowing the policy to lapse and failing to notify the Plaintiff. By actively collecting the insurance impound, SPS created a reasonable expectation that the insurance was being maintained. Taking Plaintiff's money for a specific purpose, failing to execute that purpose, and concealing the failure entirely destroys Plaintiff's right to receive the benefits of the escrow agreement. This constitutes a textbook breach of the implied covenant of good faith and fair dealing." (Opp., 6:24-7:2.)

However, as SPS points out in response, "Plaintiff alleges SPS collected funds from Plaintiff and paid these escrow items. It was obligated to account for those funds, and adjust the amounts collected periodically pursuant to RESPA. Plaintiff does not allege that SPS breached any particular contractual provision relating to escrow items." (Reply, 5:1-4.) SPS avers that "[t]here is no provision in the First Deed of Trust that places any obligation on the lender to provide insurance. There is also no portion of the Deed of Trust which would require a particular notification of the non-renewal of Plaintiff's own insurance policy." (Reply, 5:10-12.) Although Plaintiff directs the Court to law, as SPS asserts, Plaintiff does not "point to any basis under which SPS was obligated to force-place insurance... Force-placed insurance is an option, not a requirement. Plaintiff may not base a contract claim on an option which was not an obligation." (Reply, 5:17-24.)

Since this is a breach of contract cause of action, Plaintiff must identify a provision of the contract SPS breached. However, Plaintiff does not identify a specific, mandatory provision of the Deed of Trust showing that SPS was required to obtain force-placed insurance or inform Plaintiff of the lapse in coverage. Moreover, Plaintiff cannot rely on the implied covenant of good faith and fair dealing to impose substantive, affirmative duties, limits, or obligations that do not exist within the terms of the contract. "The covenant of good faith and fair dealing, implied by law in every contract, exists merely to prevent one contracting party from unfairly frustrating the other party's right to receive the benefits of the agreement actually made. The covenant thus cannot be endowed with an existence independent of its contractual underpinnings. It cannot impose substantive duties or limits on the contracting parties beyond those incorporated in the specific terms of their agreement." (Guz v. Bechtel Nat. Inc. (2000) 24 Cal. 4th 317, 349-350 [internal quotations and citations omitted].) Accordingly, the demurrer is sustained, with leave to amend, due to Plaintiff's failure to demonstrate

the contractual provisions SPS is alleged to have violated.

E.

Fourth Cause of Action

for Negligence

SPS next demurs to the fourth cause of action for negligence.

"The elements of a negligence cause of action are duty, breach, causation and damages." ((County of Santa Clara v. Atlantic Richfield Co. (2006) 137 Cal.App.4th 292, 318.) "To prevail in a negligence action, a plaintiff must show that the defendant owed a legal duty, the defendant breached that duty and the breach proximately caused injury to the plaintiff." (J.L. v. Children's Institute, Inc. (2009) 177 Cal.App.4th 388, 396.) "A tort involves a violation of a legal duty, imposed by statute, contract or otherwise, owed by the defendant to the person injured. Without such a duty, any injury is an injury without wrong. [Citation.] A person is ordinarily not liable for the actions of another and is under no duty to protect another from harm, in the absence of a special relationship of custody or control." ((Roman Catholic Bishop v. Superior Court (1996) 42 Cal.App.4th 1556, 1564.)

SPS

contends that Plaintiff does not plead facts "relating to any role or conduct beyond the role of a lender or loan servicer to implicate any legal duty.

Plaintiff is improperly attempting to create a tort claim where the parties' relationship is based in contract. No legal duty is implicated to support a negligence cause of action." (Dem., 16:17-20.) SPS points to Sheen v. Wells Fargo Bank, N.A. (2022) 12

Cal.5th 905, 948 (Sheen), where the Supreme Court stated that "when a borrower requests a loan modification, a lender owes no tort duty sounding in general negligence principles." Additionally, SPS contends that "Plaintiff fails to allege any act of breach of any legal duty as to SPS. Plaintiff claims SPS should have notified him about the insurance lapse or force-placed insurance, but he does not plead facts that SPS actually knew that the CA FAIR Plan policy had lapsed. As stated above, he essentially claims SPS 'must have known' based on the fact that SPS may have made one or two payments on his behalf after the policy had lapsed. This is based entirely on conjecture and speculation." (Dem.,

16:24-28.) Lastly, SPS contends that “[e]ven if Plaintiff could identify some injury..., no causal connection exists to suggest any injury was caused by SPS. It was Plaintiff’s own responsibility to obtain and maintain fire insurance on the Property (RJN, Ex. ‘1’ § 5), and he pleads no obligation by SPS to notify him of a lapse (let alone that it knew of the lapse, or force-place insurance.” (Dem., 17:10-14.)

In opposition, Plaintiff asserts that Sheen, supra, 12 Cal.5th is inapposite because its ruling is based in the economic loss rule, and “reasoned that a loan modification is essentially the renegotiation of an existing debt, and a lender’s involvement in a modification is merely an assessment of how best to recoup its money. However, the administration of a borrower’s escrow account is fundamentally distinct from the adversarial renegotiation of a loan.” (Opp., 7:27-8:4.) Plaintiff draws important distinctions between the loan modification in Sheen and the escrow management in the case at bar. For loan modification, Plaintiff contends the servicer’s role is as an “[a]dversarial creditor acting to maximize its own debt recovery,” there is “[n]o federal statute compel[ling] a lender to approve a modification,” and “[e]conomic loss rule bars tort duty during contract negotiations.” (Opp., 8:8-19.) Whereas, for escrow management, Plaintiff states there is an “[a]ffirmative, ongoing administration of the borrower’s funds for payment to third parties,” the servicer is an “[a]dministrative intermediary acting as a conduit for borrower’s premium payments,” RESPA mandates timely escrow disbursements, and “Good Samaritan rule and Negligence Per Se establish independent tort duties.” (Ibid.) Further, Plaintiff avers that “[w]hen a servicer collects and manages escrow funds, its involvement exceeds the ‘conventional role as a mere lender of money’. It undertakes a specialized, heavily regulated administrative function.” (Opp., 8:22-24.)

Plaintiff asserts that “[e]ven if a common law duty were absent, Plaintiff has sufficiently pleaded a duty of care arising from statute.” (Opp., 8:26-27.) The doctrine of negligence per se states that “[t]he failure of a person to exercise due care is presumed if: (1) He violated a statute, ordinance, or regulation of a public entity; (2) The violation proximately caused death or injury to person or property; (3) The death or injury resulted from an occurrence of the nature which the statute, ordinance, or regulation was designed to prevent; and (4) The person suffering the death or the injury to his person or property was one of the class of persons for whose protection the statute, ordinance, or regulation was adopted.” ((Evid. Code, § 669, subd. (a).)

RESPA, the Real Estate Settlement

Procedures Act, and its implementing Regulation X, imposes a strict mandate on a servicer to make timely disbursements from an escrow account. "If the terms of any federally related mortgage loan require the borrower to make payments to the servicer of the loan for deposit into an escrow account for the purpose of assuring payment of taxes, insurance premiums, and other charges with respect to the property, the servicer shall make payments from the escrow account for such taxes, insurance premiums, and other charges in a timely manner as such payments become due. Any balance in any such account that is within the servicer's control at the time the loan is paid off shall be promptly returned to the borrower within 20 business days or credited to a similar account for a new mortgage loan to the borrower with the same lender." ((12 U.S.C. § 2605(g).) Moreover, "[i]f the terms of any federally related mortgage loan require the borrower to make payments to an escrow account, the servicer must pay the disbursements in a timely manner, that is, on or before the deadline to avoid a penalty, as long as the borrower's payment is not more than 30 days overdue." ((12 C.F.R. § 1024.17(k)(1).)

Plaintiff

contends that "[t]he Complaint explicitly alleges that SPS violated these regulations by allowing the policy to lapse without making the premium payment and by failing to provide the mandatory warning notices. The resulting injury—the catastrophic, uninsured destruction of the property— is exactly the harm these RESPA provisions were designed to prevent. Plaintiff, as the homeowner and borrower, is squarely within the class of persons RESPA was enacted to protect. Therefore, SPS owed a statutory duty of care to Plaintiff, which it breached, establishing a cognizable claim for negligence per se." (Opp., 9:11-17.)

Plaintiff also

asserts that SPS is negligent under the six factors identified in *Biakanja v. Irving* (1958) 49

Cal.2d 647, 650, which "involves the balancing of various factors, among which are the extent to which the transaction was intended to affect the plaintiff, the foreseeability of harm to him, the degree of certainty that the plaintiff suffered injury, the closeness of the connection between the defendant's conduct and the injury suffered, the moral blame attached to the defendant's conduct, and the policy of preventing future harm."

Plaintiff asserts

that all factors are met because, first, the transaction affected Plaintiff because “[t]he escrow impound is specifically intended to ensure that the plaintiff’s property is insured against destruction, directly protecting the plaintiff’s equity and habitation.” (Opp., 9:22-24.) Next, Plaintiff contends that “[i]t is entirely foreseeable that if a servicer collects insurance money but fails to pay the insurer, the policy will lapse, and the plaintiff will suffer an uninsured loss if a disaster strikes.” (Opp., 9:25-27.) Plaintiff alleges that “[t]he injury is absolute; Plaintiff lost a \$1.3 million asset with zero insurance recovery.” (Opp., 10:1-2.) As for the connection between SPS’s conduct and the injury, Plaintiff asserts that “SPS’s failure to remit the funds or warn the Plaintiff was the direct cause of the property being uninsured on the day of the fire.” (Opp., 10:4-5.) Fifth, Plaintiff contends that “[c]ontinuing to siphon \$2,500 a month from a homeowner while silently allowing their catastrophic risk insurance to lapse carries severe moral blame, bordering on deceit.” (Opp., 10:6-8.) Lastly, Plaintiff avers that “[r]ecognizing a duty of care in escrow administration incentivizes servicers to maintain accurate accounting systems and communicate effectively, preventing the exact type of catastrophic financial ruin seen here.” (Opp., 10:9-11.)

Based on the

assertions set forth by Plaintiff and the complaint’s allegations, Plaintiff demonstrates that the complaint pleads that SPS had a duty of care because SPS took Plaintiff’s money and held it in his escrow account, while allegedly knowing the bill could not be paid. (See Compl., ¶ 62c [“If SPS did not know the policy lapsed, it was negligent in not knowing what it reasonably should have; if SPS did know and just kept collecting, that’s even worse. Either scenario constitutes negligent handling of Plaintiff’s money and trust. A competent servicer would have either paid a renewal premium or, if not possible, at least stopped charging or refunded the insurance portion. Doing nothing and holding the funds while coverage lapsed is a clear breach of duty.”].) Plaintiff’s complaint sufficiently alleges that SPS breached this duty when it continued to collect monthly insurance premiums, despite knowing that Plaintiff’s insurance had lapsed. Plaintiff properly alleges harm that arose from SPS’s breach, because Plaintiff alleges that “[b]ut for their negligence, one of two likely outcomes would have protected Plaintiff: either the insurance would have been maintained (so his loss would be reimbursed) or at least he would have been warned and could try to protect himself or pressure for coverage. It is reasonably certain that had Plaintiff been notified or had insurance been force-placed, his post-fire situation would

be vastly better (either not losing equity or being able to rebuild).” (Compl., ¶ 63.)

Accordingly, Plaintiff’s complaint alleges SPS’s negligence, and the demurrer to the fourth cause of action is overruled.

F.

Sixth Cause of Action for Breach of Fiduciary Duty

“To establish a cause of action for breach of fiduciary duty, a plaintiff must demonstrate the existence of a fiduciary relationship, breach of that duty and damages.” ((Charnay v. Cobert (2006) 145 Cal.App.4th 170, 182.) “[B]efore a person can be charged with a fiduciary obligation, he must either knowingly undertake to act on behalf and for the benefit of another, or must enter into a relationship which imposes that undertaking as a matter of law.” ((City of Hope National Medical Center v. Genentech, Inc. (2008) 43 Cal.4th 375, 386.)

SPS

demurs to the sixth cause of action, asserting that there is no fiduciary relationship between SPS and Plaintiff because “[c]ourts have consistently held that no fiduciary relationship exists between a lending institution and its borrower.” (Dem., 17:25-27; see

also Ragland

v. U.S. Bank National Assn. (2012) 209 Cal.App.4th 182, 206 [“No fiduciary duty exists between a borrower and lender in an arm’s length transaction.”].) Moreover, in Sutate v.

Orange County Federal Credit Union (1986) 186 Cal.App.3d 140, 144, the Court of Appeal stated that “a lender does not have a legal duty

to ensure the borrower has liability insurance.” SPS asserts that “Plaintiff bases this cause of action entirely on duties arising out of the contractual relationship with his lender. Plaintiff cannot assert a claim for breach of fiduciary duty as a duty is lacking.” (Dem., 18:2-4.)

Plaintiff

opposes, contending that “[w]hen a loan servicer collects escrow funds from a borrower, it does so as an agent for the specific purpose of paying insurance premiums and property taxes on the borrower’s behalf. This arrangement places the servicer in a position of trust and confidence regarding those specific

funds. The servicer controls the disbursement of the borrower's money to satisfy critical obligations necessary to protect the property." (Opp., 10:27-11:3.)

However, as SPS points out in response, "Plaintiff argues the fact that SPS administered an escrow account created a fiduciary duty owed to him. (Opposition, p. 10.) Plaintiff glaringly cites no authority in support of this proposition... Absent special circumstances, a loan transaction is at arm's length and there is no fiduciary relationship between the borrower and lender." (Reply, 7:15-20.)

Plaintiff does not present the Court with legal support demonstrating that the loan transaction between SPS and Plaintiff created an arrangement beyond a standard, customary lending arrangement that does not give rise to a fiduciary duty. Without evidence or support that SPS's act of administering the escrow account implicated something more, SPS did not owe Plaintiff a fiduciary duty. Accordingly, the Court sustains the demurrer, without leave to amend.

G.
Seventh Cause of Action
for Fraud and Negligent Misrepresentation

SPS demurs to the seventh cause of action based on fraud because SPS contends Plaintiff does not plead any elements for a fraud cause of action.

"[T]he elements of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage." (Marketing West, Inc. v. Sanyo Fisher (USA) Corp. (1992) 6 Cal.App.4th 603, 612-613.) Less specificity is required if it appears from the nature of allegations that the defendant must necessarily possess full information, or if the facts lie more in the knowledge

of opposing parties.¿(Alfaro

v. Community Housing Improvement System & Planning Assn., Inc.¿(2009) 171 Cal.App.4th 1356, 1384-1385.)

“The elements of a cause of action for negligent

misrepresentation are: 1. The defendant must have made a representation as to a past or existing material fact...2. The representation must have been untrue...3. Regardless of his actual belief the defendant must have made the representation without any reasonable ground for believing it to be true...4. The representation must have been made with the intent to induce plaintiff to rely upon it...5. The plaintiff must have been unaware of the falsity of the representation; he must have acted in reliance upon the truth of the representation and he must have been justified in relying upon the representation...6. And, finally, as a result of his reliance upon the truth of the representation, the plaintiff must have sustained damage.” ((Friedman v. Merck & Co. (2003) 107 Cal.App.4th 454, 476 [internal quotations omitted].)

In

the complaint, Plaintiff pleads that “SPS ... made false representations to Plaintiff, and/or concealed material facts from Plaintiff, in the course of handling his loan payments and insurance escrow, with knowledge of the falsity or with reckless disregard for the truth, and with the intent to induce Plaintiff’s reliance,” because it “continu[ed] to collect the monthly payment of \$2,500 from Plaintiff (which included an amount for insurance) even after they knew or should have known that the fire insurance policy was not renewed.” (Compl., ¶ 81a.) Further, Plaintiff pleads that “[e]ach monthly mortgage statement or payment acceptance without comment on insurance was effectively a communication to Plaintiff that everything was normal — that his loan was current and his insurance was being paid. This was a false representation by conduct.” (Ibid.) Plaintiff also alleges that SPS “deliberately concealed from Plaintiff the critical fact that his fire insurance policy had lapsed or would lapse without renewal. They had a duty to disclose this fact because (1) they had exclusive or superior knowledge of it (since they typically receive notices or have servicer records indicating insurance status), (2) it was a material fact – indeed, crucial to the security of the property and loan – and (3) Plaintiff justifiably relied on the assumption that if something was wrong, the servicer would inform him (especially given the impound relationship). By failing to disclose the lapse, these Defendants engaged in fraudulent concealment.” (Compl., ¶ 81b.) Plaintiff alleges justifiable reliance “on

Defendants' misrepresentations and omissions to his detriment," because he relied on the implicit representation that he had insurance, and did not take steps to remediate this. (Compl., ¶ 84.) Plaintiff alleges that his reliance is a substantial factor in his damages because "when the fire occurred, he was uninsured and suffered the full magnitude of the loss. Had the true facts been known, either the loss would have been covered or the scenario altogether might have been different." (Compl., ¶ 85.) Plaintiff also alleges that SPS acted "intentionally or at least in conscious disregard when concealing the insurance lapse." (Compl., ¶ 86.)

Plaintiff

adequately pleads the requisite elements to demonstrate fraud. Additionally, as Plaintiff points out in his opposition, "SPS attacks the Seventh Cause of Action by arguing that Plaintiff fails to allege a specific, affirmative misrepresentation, lacks facts showing SPS's knowledge of falsity (scienter), and fails to demonstrate reliance or resulting damages. SPS's arguments rely on an overly rigid application of pleading standards, ignoring both the doctrine of fraudulent concealment and the 'superior knowledge' exception to the strict pleading requirements for fraud in California." (Opp., 11:13-18.) The Court finds that the superior knowledge exception is present here because SPS is a corporate entity that understands the intricacies of its mortgage system and payments. Plaintiff further asserts that "Plaintiff, who was unlawfully deprived of his non-renewal notice by the FAIR Plan, cannot possibly know at the pleading stage the exact date, time, or identity of the SPS employee who reviewed the file and noted the absence of a renewal policy. SPS possesses superior, if not exclusive, knowledge of its internal accounting systems and its communications with the FAIR Plan." (Opp., 12:2-6.) Utilizing this exception, Plaintiff's complaint is pled with adequate specificity. Because Plaintiff pleads the elements demonstrating that SPS engaged in fraud, the demurrer is overruled.

H.

Ninth Cause of Action for
Failure to Provide Required Notices (Statutory Violations)

SPS contends that
Plaintiff fails to allege SPS violated any particular statute.

In the complaint,
Plaintiff first alleges "California Insurance Code §§

675, 676, 677.4, 678, and related provisions govern the cancellation and non-renewal of insurance policies. Specifically, Insurance Code § 678 (applicable to property insurance policies covering residential properties) requires that an insurer provide written notice to the named insured at least 45 days before the expiration of the policy if the insurer intends not to renew the policy.” (Compl., ¶ 97.) Plaintiff appears to direct this section at Defendant CA FAIR Plain, but “SPS submits that it is not an ‘insurer’ for purposes of these sections, and each of those sections places obligations only on ‘insurers’ as to cancellation and non-renewal.” (Dem., 20:17-18.) The Court agrees that the statutory violation is inapposite because SPS is not an insurer.

Plaintiff also

pleads violations under Civil Code section 2954, but Plaintiff does not point to a portion of the statute that SPS violated. SPS asserts that “[w]hile the section provides the requirement that a lender provide an annual accounting, nothing in the section created an obligation to notify Plaintiff of an insurance lapse, let alone within the two months between the October 24, 2024 lapse and the January 8, 2025 fire. Furthermore, Civil Code Section 2954.6 requires lenders to notify borrowers about cancellation rights for private mortgage insurance or mortgage guaranty insurance, but this statute specifically addresses mortgage insurance protecting the lender against borrower default, not hazard insurance protecting the property itself.” (Dem., 21:4-10.) Plaintiff does not appear to address this statute in the opposition, and the Court finds it inapplicable.

Next, Plaintiff

pleads SPS “did not send Plaintiff any notice that his hazard insurance had lapsed or was about to lapse. This is a direct violation of the spirit if not the letter of 12 C.F.R. § 1024.37.” (Compl., ¶ 100.) SPS asserts that “[g]laringly, Plaintiff does not point to any portion of § 1024.37 that SPS is alleged to have violated.

While the section provides various requirements as to notices and the procedure for force-placing insurance, nothing in that section requires a lender to obtain force-placed insurance.” (Dem., 20:24-27.) Plaintiff does not allege any aspect of 12 C.F.R. § 1024.37 that would apply here, as this regards forced-place insurance, insurance SPS did not obtain and was not required to obtain, per the Deed of Trust.

Plaintiff’s

complaint also pleads that statutory violations constitute unfair and unlawful business

practices on behalf of SPS. "The Unfair Business Practices Act defines 'unfair competition' as any 'unlawful, unfair or fraudulent business practice and unfair, deceptive, untrue or misleading advertising....' (§ 17200.) The Legislature intended this 'sweeping language' to include 'anything that can properly be called a business practice and that at the same time is forbidden by law.'" ((Bank of the West v. Superior Court (1992) 2 Cal.4th 1254, 1266.) "An 'unlawful' practice requires violation of another statute, and a business practice may be 'unfair' even if not otherwise proscribed by statute as long as the practice is not expressly authorized by law." ((People ex rel. Dept. of Motor Vehicles v. Cars 4 Causes (2006) 139 Cal.App.4th 1006, 1016.)

"Unlawful business activity proscribed under section 17200 includes anything that can properly be called a business practice and that at the same time is forbidden by law." (Farmers Ins. Exch. v. Superior Ct. (1992) 2 Cal.4th 377, 383 [internal quotations omitted].) "[A]n action based on Business and Professions Code section 17200 to redress an unlawful business practice 'borrows' violations of other laws and treats these violations, when committed pursuant to business activity, as unlawful practices independently actionable under section 17200 et seq. and subject to the distinct remedies provided thereunder." (Ibid.) "A plaintiff alleging unfair business practices under these statutes must state with reasonable particularity the facts supporting the statutory elements of the violation." (Khouri v. Maly's of California, Inc. (1993) 14 Cal. App. 4th 612, 619.)

Plaintiff's complaint

alleges that "Defendant SPS, Assure and RTI Properties, in violating servicing laws and regulations, likewise engaged in unlawful and unfair practices. Plaintiff has standing under §17204 because he lost money and property (the insurance premiums paid, his property value lost, etc.) as a result of these practices. While the primary relief under §17200 is injunctive and restitutionary, Plaintiff specifically seeks in this cause of action any such equitable relief: for instance, an injunction requiring Defendants to adhere to notice requirements henceforth, and restitution of any insurance premium monies collected for coverage that was wrongfully allowed to lapse. This is in addition to the damages sought under other causes, but is pleaded in the alternative and to bolster that relief." (Compl., ¶ 102.)

As a preliminary

matter, Plaintiff does not make any fraudulent business practices assertions. Next, Plaintiff must anchor his unlawful allegation to a statutory basis. In Plaintiff's opposition, he identifies that "RESPA and Regulation X (12 C.F.R. § 1024.17(k)) strictly require servicers to make timely payments from an escrow account to prevent a lapse in hazard insurance. The Complaint alleges SPS failed to do so." (Opp., 14:5-7.) However,

the complaint only makes mention of 12 C.F.R. § 1024.37, notably, not section 1024.17(k), which is the applicable section. Accordingly, the unlawful prong cannot be met because it fails to identify a statute SPS could have allegedly violated and lacks particularity.

Moreover, SPS contends “[t]he Complaint further fails to state a claim under the unfairness prong, as Plaintiff cannot allege that the servicing of this particular loan offends a public policy tethered to any underlying constitutional, statutory or regulatory provision.” (Dem., 21:28-22:3.) SPS asserts that “Plaintiff has not identified how the alleged behavior is likely to deceive the public and or that other consumers have been similarly deceived.” (Dem., 22:3-4.) As SPS asserts, Plaintiff’s complaint lacks these allegations.

Lastly, SPS asserts that Plaintiff lacks standing to bring a UCL cause of action. To establish standing to bring a cause of action under the Unfair Competition Law (UCL), a private party must “(1) establish a loss or deprivation of money or property sufficient to qualify as injury in fact, i.e., economic injury, and (2) show that that economic injury was the result of, i.e., caused by, the unfair business practice or false advertising that is the gravamen of the claim.” ((Campbell v. FPI Management, Inc. (2024) 98 Cal.App.5th 1151, 1167-1168.) SPS asserts that “Plaintiff was obligated to maintain insurance on his Property. He alleges no contractual obligation or statutory duty wherein SPS was obligation to force-place insurance, or notify him of a lapse.” (Dem., 22:18-20.)

Plaintiff’s opposition asserts that “Plaintiff alleges that SPS collected escrow funds intended for insurance but failed to remit them, essentially taking Plaintiff’s money without providing the corresponding service. The loss of these specific premium dollars constitutes an injury in fact directly caused by the unfair practice. Moreover, the broader property loss (\$1.3 million) is directly tied to the unlawful failure to notify Plaintiff of the lapse under RESPA.” (Opp., 14:17-21.)

Plaintiff demonstrates that he has standing to bring a UCL cause of action. However, as noted above, Plaintiff does not anchor the unlawful UCL allegation to an applicable statute, nor does Plaintiff plead that SPS engaged in unfair business practices.

Accordingly, the demurrer to the ninth cause of action for failure to provide required notices (statutory violations) is sustained, with leave to amend.

Motion to Strike

A.

Legal Standard

A court may “[s]trikeout any irrelevant, false, or improper matter inserted in any pleading” or “[s]trike out all or any part of any pleading “not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” (CC Code Civ. Proc., § 436, subds. (a)-(b)) “The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.” (CC Code Civ. Proc., § 437))

B.

Discussion

RTI moves to strike portions of Plaintiff’s complaint regarding punitive damages. However, given the Court’s decision to sustain RTI’s demurrer in its entirety, RTI’s motion to strike is moot.

Additionally, as noted above, Plaintiff and SPS filed a stipulation regarding SPS’s motion to strike. Accordingly, SPS’s motion to strike is also moot.

Conclusion

Based on the foregoing, RTI’s demurrer to the complaint is SUSTAINED in its entirety, without leave to amend. SPS’s demurrer to the third and ninth causes of action is SUSTAINED, with leave to amend. SPS’s demurrer to the sixth cause of action is SUSTAINED, without leave to amend. SPS’s demurrer to the fourth and seventh causes of action is OVERRULED.

RTI and SPS’s motions to strike are both DENIED as MOOT.

RTI is ordered to file a proposed judgment within ten days of

this Order.

Plaintiff is ordered to file
and serve an amended complaint, if any, within 20 days of the date of this
Order. If no amended complaint is filed within 20 days, the Court orders SPS to
file and serve its answer to the complaint within 30 days
of the date of this Order.

SPS is ordered to give notice of this
Order.

DATED: July
10, 2026

Hon. Teresa A. Beaudet

Judge, Los Angeles Superior Court